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THE JAPAN BUSINESS ASSOCIATION IN VIETNAM

SOCIALIST REPUBLIC OF VIETNAM

Independence – Freedom - Happiness

No. 22/2017JBAV

Hanoi, July 31st, 2017

Re: Request for guidance on payment in merger and acquisition transactions

Respectfully to: The State Bank of Vietnam

First of all, the Japan Business Association in Vietnam ("**JBAV**") would like to express our sincere gratitude to the State Bank of Vietnam ("**SBV**") for your proactive and effective support in the Working Team No. 6 of the 6th phase of the Vietnam-Japan Joint Initiative ("**VJJI-WT6**").

As discussed with the SBV in the meeting of VJJI-WT6 on *July 13, 2017*, we have been encountering certain practical difficulties and legal uncertainties relating to the payment of purchase price in the purchase of shares or capital contribution in existing companies in Vietnam ("**Capital Transfer Transaction**") between non-residents, or between non-resident purchasers and resident sellers, or payment of subscription price for subscription of shares or capital contribution in existing companies in Vietnam ("**Subscription Transaction**") by non-resident subscribers that would appreciate your guidance:

1. Transactions between non-residents

We understand that the regulations under the Vietnamese law which require the payment of purchase price for Capital Transfer Transaction to be made through a direct investment capital account ("**DICA**")[1] or an indirect investment capital account ("**IICA**")[2] will be applicable only if the Capital Transfer Transaction is made between a non-resident purchaser and a resident seller, or between a resident purchaser and a non-resident seller. Therefore, if both parties to the Capital Transfer Transaction are non-residents, the purchaser is not required to pay the purchase price for

[1] We are referring to the direct investment capital account opened in the name of the target company in Vietnam pursuant to Circular 19/2014/TT-NHNN of the SBV dated 11 August 2014 ("**Circular 19**").

[2] We are referring to the indirect investment capital account opened in the name of the non-resident purchaser pursuant to Circular 05/2014/TT-NHNN of the SBV dated 12 March 2014.

the Capital Transfer Transaction through either the DICA or the IICA, and the payment of the purchase price may be made directly between the accounts of the parties opened offshore.

However, in practice, we have observed certain Capital Transfer Transactions between non-residents where the Vietnamese authorities, such as the Department of Planning and Investment, instructed the Japanese purchasers to require the target companies to open the DICA for the purpose of making payment of the purchase price. Such a practice appears to be contrary to our understanding of the Vietnamese law as mentioned above. In addition, during the meeting of VJJI-WT6 with the SBV, we came to know that SBV has issued some official letters, including Official Letter 8320/NHNN-HTQT dated October 31, 2016, which confirm our understanding that in case both the seller and purchaser of the Capital Transfer Transaction are non-residents, the payment of purchase price is not required to be made through either the DICA or the IICA.

2. Transactions between non-resident purchasers and resident sellers in 100% domestic target companies

We understand from the meeting of VJJI-WT6 with the SBV that the payment of purchase price in a Capital Transfer Transaction or subscription price in a Subscription Transaction is required to be made through the DICA only if prior to the Transaction, such target company has been a foreign-invested company and has obtained an Investment Certificate ("**IC**") or the investment registration certificate ("**IRC**") under the new Law on Investment 2015.

However, in our experience, in the Capital Transfer Transactions where the target companies do not have any foreign shareholders or members prior to the transactions (100% domestic target companies), the local authorities or local banks still instructed the Japanese purchasers to require such target companies to open the DICA for the purpose of making payment of the purchase price. This causes much difficulty to the Japanese investors and the target companies, and results in various legal uncertainties. First, prior to the Capital Transfer Transactions, the target companies do not qualify as a foreign-invested enterprise, and therefore is not subject to the legal requirement to open the DICA under Circular 19. Second, while it is a common practice that the local banks often require the submission of IC or IRC to open the DICA under Circular 19, the target companies, as 100% domestic target companies prior to the Capital Transfer Transactions, do not have the IC (or IRC) readily available to open the DICA. It would also be difficult for the target companies to apply for the IC or IRC even after the Capital Transfer Transactions since the acquisition of shares or

capital contribution by a non-resident purchaser is not subject to the procedures for issuance of the IRC.[3] This may prevent the opening of DICA for future investments by the non-resident purchasers. The same difficulties and legal uncertainties apply in case non-resident subscribers are required to make payment of subscription price in Subscription Transactions in 100% domestic companies through DICA.

We understand that as a matter of law, non-resident purchasers are only required to make payment of purchase price or subscription price through the IICA for the purpose of acquiring existing shares or capital contribution, or subscribing for newly-issued shares or capital contribution, of 100% domestic target companies.

3. Request for guidance

To avoid the practical difficulties and legal uncertainties as mentioned above, we would like to seek the SBV's guidance and confirmation of our understanding of the Vietnamese law regarding the payment in Capital Transfer Transactions and Subscription Transactions as follows:

(a) The payment of purchase price in the purchase of shares or capital contribution in companies in Vietnam between non-residents is not required to be made through either the DICA or the IICA. Rather, the payment may be made directly between the accounts of the parties opened offshore;

(b) The payment of purchase price to a resident seller by a non-resident purchaser for the purpose of acquiring existing shares or capital contribution of a 100% domestic target company is not required to be made through the DICA. Also, the payment of the subscription price to the target company by a non-resident subscriber for the purpose of subscribing for newly-issued shares or capital contribution of a 100% domestic target company is not required to be made through the DICA. However, such payments of purchase price or subscription price must be made through the IICA; and

(c) A 100% domestic target company which has become a foreign-investment company as a result of an acquisition or subscription of shares or capital contribution under Article 26 of the Law on Investment 2015 is not required to have a DICA for any

[3] Article 46 of Decree 118/2015/ND-CP of the Government of Vietnam dated 12 November 2015.

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purpose, and all payment of purchase price or subscription price for future acquisition or subscription of shares or capital contribution in such company is not required to be made through a DICA.

We are pleased to express our appreciation to the SBV and respectfully hope the SBV would support us onwards.

Recipients:
- As above;
- Embassy of Japan in Vietnam;
- The Japanese Business Association of Ho Chi Minh City;
- The Japan Business Association in Danang City;
- Save JBAV Office.

THE JAPAN BUSINESS ASSOCIATION IN VIETNAM
Chairman

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BAN LÃNH ĐẠO

Hiroshi KARASHIMA